



State of New Jersey

PHILIP D. MURPHY
Governor

TAHESHA L. WAY
Lt. Governor

OFFICE OF THE STATE COMPTROLLER
MEDICAID FRAUD DIVISION
P.O. BOX 025
TRENTON, NJ 08625-0025
(609) 826-4700

KEVIN D. WALSH
Acting State Comptroller

JOSH LICHTBLAU
Director

November 18, 2022

MER Associates, LLC
d/b/a Xanadu Adult Medical Day Care
Owner: Mikhail Lipsky
615 Main Avenue
3rd Floor
Passaic, New Jersey 07055
Sent via encrypted electronic mail to [REDACTED].

Re: Revised Notice of Overpayment
Case Number: [REDACTED]

Dear Provider:

This notice is in response to your correspondence dated November 9, 2022 and November 16, 2022, regarding the Notice of Overpayment dated September 20, 2022 that the Office of the State Comptroller, Medicaid Fraud Division (MFD) sent to Xanadu Adult Medical Day Care (Xanadu), [REDACTED]. As explained in its September 20th notice, MFD identified three categories of claims in which Xanadu improperly submitted 343 claims for which it received Medicaid overpayments totaling \$26,882.10 that it must repay to the Medicaid program. In its November 9th and 16th responses, Xanadu provided additional information regarding these three categories of claims, each of which is outlined below.

1. While the recipients were admitted to an inpatient facility, such as a hospital or skilled nursing/long term care center– 162 claims, with overpayments of \$12,812.70 (in violation of N.J.A.C. 10:164-1.5). Xanadu acknowledged that it billed for services while the recipients were admitted to an inpatient facility, such as a hospital or skilled nursing/long term care center due to a “billing error.” Xanadu also provided documentation in support of three (3) of the 162 claims in question. MFD reviewed the sign in sheets and vital signs submitted by Xanadu and has determined that the documentation supports two (2) of the three (3) claims in question. **Accordingly, MFD has adjusted its prior findings and Xanadu must repay the Medicaid program for 160 claims with an overpayment amount of \$12,655.70.**

2. In excess of five (5) days per week– 137 claims with overpayments of \$10,419.10 (in violation of N.J.A.C. 10:164-1.4(a)). Xanadu acknowledged that it billed in excess of five (5) days per week due to a “billing error.” Xanadu also advised that it already refunded the appropriate Medicaid Managed Care Organizations (MCOs) for all of the 137 claims, amounting to \$10,419.10. MFD reviewed the claims spreadsheet and remittance advice provided by Xanadu and determined that Amerigroup and Horizon recovered overpayments for 30 of the 137 claims in question, amounting to \$2,340.00. **Accordingly, MFD has adjusted its prior findings and Xanadu must repay the Medicaid program for 107 claims with an overpayment amount of \$8,079.10.**
3. While the recipients were receiving services from another adult medical day care provider– 44 claims, with overpayments of **\$3,650.30** (in violation of N.J.A.C. 10:49-9.8). Xanadu acknowledged that it billed while the recipients were receiving services from another adult medical day care provider to a “billing error.” **Accordingly, Xanadu must repay the Medicaid program for the payments it received for these claims.**

In sum, given Xanadu’s November 9th and 16th responses, **MFD finds that Xanadu must pay an adjusted overpayment amount MFD of \$24,385.10.** Please mail a Certified Check in the amount noted above made payable to “Treasurer, State of New Jersey” to the address below within ten (10) business days from the date of this notice. Please insert on the memo line of the check “”.

Treasurer, State of New Jersey
Division of Revenue
200 Woolverton Street, Building 20
Lockbox 656
Trenton, New Jersey 08646
Attn: Processing Bureau

Please also forward a copy of the Certified Check and the transmittal letter to my attention at Office of the State Comptroller, Medicaid Fraud Division, P.O. Box 025, Trenton, New Jersey, 08625-0025 or via email to . Please include the case number, “”, in the subject line of any e-mail correspondence.

If a check is not received within ten (10) business days from the date of this notice, MFD will take further appropriate action, including but not limited to: issuing a Notice of Claim, Certificate of Debt, and Notice of Withholding, which would withhold a portion of your future claims payments, and/or any other remedy available to MFD by law.

This Notice of Overpayment documents and seeks a recovery relating to the improper billing of claims by the provider (entity). Please be advised that this Notice is a public document and, as such, may be placed on the OSC/MFD website.

Sincerely,

KEVIN D. WALSH
ACTING STATE COMPTROLLER

By: *Amanda Shiber*
Amanda Shiber
Policy Analyst
Medicaid Fraud Division

Copy: Glenn Geib, Recovery Supervisor, MFD

MFD Update - September 10, 2024

On September 10, 2024, MFD received a Certified Check dated August 21, 2024, from Xanadu Adult Medical Day Care for the revised full amount due \$24,385.10.